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2021 Compensation Package Supplement

Confidential Bonus Program for Stephen Short

As part of your total compensation package Johnstone wants to make the following bonus opportunities available to you. Earning them will be tied to your ability to successfully complete and verify through proper reporting each of the assigned opportunities detailed below. Each opportunity is attainable and we will work with you to help you achieve them.

Bonus Summary (maximum bonus potential)

- 1) a) Develop Lyons Operations Procedure Book
b) Document a Staffing Back-up Plan for Lyons
- 2) Increase Lines per Invoice Initiative
- 3) eCommerce Profit Growth Initiative
- 4) Weekly TM Call Quality Review Meetings
- 5) Sixteen (16) hours of JU Online self-training
- 6) Minimum of Six (6) Counter Day Lunch N' Learns

Total Bonus Dollars Available

* Bonus opportunities #6 could result in earnings greater than \$6,400.

PRODUCT ▲ KNOWLEDGE ▲ SERVICE

Bonus Details

- 1) a) Our Lyons operation is a site-managed function employing a full-time individual working in a generally unsupervised capacity to manage the procurement and pricing needs of our largest customer. The site-manager must have competency in the use of our Inform software and the internet, extensive knowledge of how our and our customer's business works and makes money, and knowledge of Johnstone's many products and services. The goal of this initiative is twofold: 1) to document recurring procedures into a binder that can be used as a reference to simplify, refresh, remind, or even learn how to perform recurring tasks; and 2) to streamline redundant or unnecessary operations that eat up time while conducting routine business. This initiative assumes the site-manager has a working knowledge of all of the above, so it is not intended to be an on-boarding guide for a new employee. *(See Appendices for samples.)*
 - i) Identify key recurring transactions that govern 60-80% of the daily business activity. Examples might include Sales Orders, Order Inquiries, Quotes, Credits, Drop-ship Sales, Purchase Orders, JXI Searches, AHRI Selector Searches, Price Overrides, Warranty transactions, etc.
 - ii) Develop written procedures for each type of transaction including screenshots to assist in navigation training.
 - iii) Procedures should identify key fields necessary to complete the transaction and should include explanations replete with examples of how to best use the key fields in each transaction screen.
- b) Along with the importance of a well-run site-managed operation is the importance of operational continuity in the event of employee sickness, vacation, termination or resignation. The customer's needs must still be met. The goal here is to identify the skills needed for

someone to seamlessly and quickly step into this role to run the site program. This should be documented from the perspective of both temporary and permanent circumstances. An individual or individuals will need to be identified, potentially introduced to the customer, and ultimately on-site trained to fill-in for the role.

Maximum Bonus Opportunity:

- 2) Lines Per Invoice (LPI) is a one of several key performance metrics that measures productivity of our branch staff. Essentially it is a statement of our ability to do more with the same or less resources when it comes to processing quotes, orders and invoices. Upselling on a sales order, maintaining a fully stocked showroom, using lists to increase Internet sales are all ways that can serve to increase LPI. We measure LPI using trailing twelve-month data (TTM) so as to reduce the distorting impact of seasonal and single event variability in the calculation. As of 12/31/2020, Rochester TTM LPI was 2.68 Your goal will be to improve the branch TTM LPI by 3.0% by year-end 2021 to 2.76. Two analytic reports have been created using MITS to facilitate your efforts. (3Yrs LPI Analysis- Rochester (Bonus 2021); 3Yrs LPI Analysis- Company (Bonus 2021))

Maximum Bonus Opportunity:

- 3) eCommerce is the future and it is crucial that it become an important part of our business moving forward. eCommerce and specifically web-based sales are becoming an increasingly important way for our customers to conduct business and are equally vital to our company's long-term profitability by lowering our overall cost to serve. To receive credit, you will need to grow House Account group e-commerce profits. You will be paid 5% of e-commerce Gross Profit growth over 2020 baseline Gross Profit. Allowance will be made for any e-commerce growth that may have existed prior to the transferal of any account out of the house account group. (eCommerce Sales/GP YTD vs LY- Rochester (Bonus 2021))

PRODUCT ▲ KNOWLEDGE ▲ SERVICE

Maximum Bonus Opportunity:

- 4) Every TM we hire must learn to work closely with the Branch to effectively achieve their potential. Whether it is necessary for technical support, quote support, or to provide competitive pricing and stocking feedback from the field, the quality of the information gathered by the TM and provided to the Branch is critical. Johnstone has created a call quality scoring program to help the TM gauge whether their efforts are impactful. This is not just a self-assessment tool for the TM to gauge the effectiveness of their daily outreach efforts, although it can be. It is equally important to management as a tool to gauge whether branch support has provided relevant, timely, and sufficient information to keep the TM armed with saleable solutions. This goal is achieved by establishing a scheduled weekly review of daily TM call efforts for the previous week. The meeting should be published on Outlook and should include the TM and their Sales Manager. Each TM is asked to strive for a weekly score of 80 and to turn in their sheets to you and to the Sales Manager. The higher the score ostensibly the higher the outreach quality.

Maximum Bonus Opportunity:

- 5) Johnstone produces many JU online training courses including monthly flyer quizzes. These courses once completed are a proven vehicle for boosting sales. In order to qualify for credit you must complete all HVACR courses timely and with an average 80% score or completion certificate if no quiz is provided. You must also complete a total of four (4) hours of training each quarter for a total of 16 hours for the year. All courses are listed with time commitments. Note: If you do not meet your quarterly training commitment you will lose the bonus opportunity for that quarter. **(Maximum \$100/quarter for four (4) hours of course work)**

Maximum Bonus Opportunity:

PRODUCT ▲ KNOWLEDGE ▲ SERVICE

- 6) Provide a minimum of six (6) counter-day training events at your branch. You must complete and distribute a recap summary to the management team so as to provide an opportunity to learn about your events and to offer suggestions for improved attendance, education and/or sales. The recap summary is not a formal document but one you should create and update to your preference. To be successful, you must minimally plan to distribute a flyer or email-based notification to customers that are at least 2-3 weeks in advance of each event.

Maximum Bonus Opportunity:

All six (6) goals must be completed entirely to maximize your full potential bonus. These activities reflect the company's dedication and investment in you to continuously look for ways to improve knowledge and capability. Growth by our employees grows our business and makes us all more profitable!

Before you sign off on this plan, please carefully review your entire compensation plan for 2021 and understand that all bonus payouts require you to be in the employ of Johnstone Supply during the entire period being measured. For example, if your bonus compensation is annual, then you must be in the employ of Johnstone Supply as of 12/31 of the year for which the bonus applies.

Plan Accepted by _____ Date _____

Supervisor _____ Date _____